

SENATE BILL 1397

By Roberts

AN ACT to amend Tennessee Code Annotated, Title 3,
Chapter 6; Title 4; Title 39, Chapter 16, Part 5 and
Title 58, Chapter 2, relative to lobbying regulation.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 4, is amended by adding the following
as a new chapter:

4-40-101.

This part is known and may be cited as the "Tennessee Foreign Adversary and
Chinese Military Company Disclosure and Accountability Act."

4-40-102.

The purpose of this act is to provide transparency to the public in this state
regarding the political, propaganda, and influence operations activities conducted by
agents of adversarial nations and blacklisted Chinese military companies within this
state.

4-40-103.

As used in this part, unless context otherwise requires:

(1) "Chinese military company" means a company blacklisted by the
department of defense by its inclusion on the most recent version of the
department of defense's list of Chinese military companies operating in the
United States under Section 1260H of the National Defense Authorization Act;

(2) "Foreign adversary" means a country or territory on the list
maintained by the department of commerce and compiled in 15 CFR 791.4(a), as
of January 1, 2025;

(3) "Foreign adversary principal" means:

(A) A government of a foreign adversary country and a foreign political party;

(B) A person residing in a foreign adversary country; provided, however, the person is not:

(i) A citizen of and domiciled within the United States or of any state or territory of the United States under the jurisdiction of the United States; or

(ii) A business entity that is organized or was created under the laws of the United States, or of any state or territory of the United States under the jurisdiction of the United States, and has its principal place of business within the United States; or

(C) A legal entity that is twenty percent (20%) or more beneficially owned by a person and is organized as a legal entity under the laws of an adversary country or that has its principal place of business in an adversary country;

(4) "Lobby" has the same meaning as defined in § 3-6-301;

(5) "Lobbyist" means any person who engages in lobbying for compensation; and

(6) "Person" means an individual, group of individuals, partnership, association, corporation, or any other business unit or legal entity.

4-40-104.

(a) In addition to any other disclosures required by law, a lobbyist who engages in lobbying on behalf of a foreign adversary principal must complete an affidavit certifying that the person is lobbying voluntarily on behalf of the foreign adversary

principal, under the lobbyist's free will, on behalf of a foreign adversary of the United States.

(b) In addition to any other disclosures required by law, a lobbyist who engages in lobbying on behalf of a Chinese military company must complete an affidavit certifying the lobbyist:

(1) Voluntarily and under the lobbyist's free will is engaging in lobbying on behalf of a Chinese military company operating within the United States;

(2) Understands that the People's Republic of China, under the rule of the Chinese communist party, has a stated goal of displacing the United States as the world's leading power in order to create a world order that is more friendly to communist values and more hostile towards free and democratic values;

(3) Understands that Chinese military companies play a key role in the Chinese communist party's ultimate goal of dominating the industrial sectors necessary to defeat the United States and its allies in a war; and

(4) Understands that assisting a Chinese military company advances the Chinese communist party's goals of displacing the United States as the world's leading power and defeating the United States in a war.

(c) A certification made by a lobbyist under subsection (b) is sufficient to satisfy the certification requirement under subsection (a).

4-40-105.

(a) It is unlawful for a person to engage in lobbying for a foreign adversary or Chinese military company covered under this part without having first made the lobbying disclosures, as required under § 4-40-104. This section does not limit or repeal any other lobbying disclosure requirements required under state or federal law.

(b)

(1) A person who engages in lobbying for a foreign adversary or Chinese military company covered under this part without having first made the lobbying disclosures required by § 4-40-104 shall be fined a civil penalty of fifty thousand dollars (\$50,000) per violation, up to a maximum of twenty (20) violations per year.

(2) Each day a lobbyist engages in lobbying for a foreign adversary or Chinese military company covered under this part without having made the lobbying disclosures required by § 4-40-104 is a separate violation.

SECTION 2. This act takes effect July 1, 2025, the public welfare requiring it.